Market Signals — UK Rates

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The call

The market prices 62bp of Bank of England hikes over the next year. Fade it. Receive 1y1y SONIA OIS at 4.40%.

The MPC voted 6–3 to hold at 3.75% on 30 July. The majority's stated reason was that financial conditions have already tightened enough — the Governor named the upward-sloping yield curve itself as part of that tightening. That is a reaction function with a feedback loop: the more the market prices hikes, the less the Bank needs to deliver them.

Three of the six who voted to hold are closer to cutting than hiking. The three hawks are arguing from risk management, not from data — the Committee agreed there is "little evidence of material second-round effects so far."

What the curve is pricing

	Level
Bank Rate	3.75%
SONIA	3.73%
Implied by 17 Sep MPC	3.76% (+1bp, ~6% chance of a move)
Implied by 5 Nov MPC	3.88% (+13bp)
Implied by 17 Dec MPC	3.99% (+24bp — one full hike)
Implied by Jul 2027	4.36% (+62bp — two and a half hikes)
1y1y SONIA OIS	4.40%

Gilts	Level	vs 1 year ago
2y	4.30%	+60bp
5y	4.56%	+63bp
10y	5.10%	+50bp
30y	5.89%	+37bp
2s10s	+81bp	−9bp
10s30s	+79bp	−13bp
10y real	1.88%	+44bp
30y real	2.52%	+26bp

The one number most people get wrong. The 30-year at 5.89% sits in the 99.8th percentile since 1997 and is being reported as a fiscal credibility crisis. It is not. Over the past twelve months the 20-year gilt–OIS spread — the gilt-specific premium, with policy expectations stripped out — **narrowed from 84bp to 72bp**. The long end sold off because the whole sterling curve repriced after the March energy shock, not because the market newly lost faith in the UK. The 2-year rose 60bp against the 30-year's 37bp. This was a front-end event.

Base case

One hike or none, and the risk of a cut in 2027 is materially higher than the zero the curve prices. The Committee has told us the decisive evidence — 2027 pay settlements — will not arrive until late this year, after the December meeting the market has already priced a hike into. Meanwhile Ramsden said he would "consider resuming the cutting cycle" if risks subside, and Taylor sees the economy "drifting further toward deficient demand."

Fair value for 1y1y on this view is around 3.95%. It trades at 4.40%.

Bull case for the trade

Middle East de-escalation. Energy prices fall back, the near-term CPI hump does not materialise, and the disinflation the Committee already describes as "firmly on track" reasserts. Ramsden, Taylor and Dhingra move to cuts and the November MPR softens the guidance. **1y1y toward 3.50%, +90bp.** The Bank's own published milder scenario is close to this, and it also assumes weaker household consumption.

Bear case for the trade

Second-round effects appear. Services CPI re-accelerates or 2027 pay settlements print above 4%. Lombardelli and Bailey defect on risk-management grounds and the Committee hikes in November and again in the new year. **1y1y toward 4.75%, −35bp.** Add an energy re-escalation — Brent above $100, UK gas above 175p/therm — and the whole front end reprices further.

Risks I am carrying

1. **Energy is the shock, and all nine MPC members agree the risks are skewed higher.** European gas stocks are low, refining output is down, and reserve releases "cannot mitigate the shock indefinitely."
2. **The market may be correctly pricing insurance, not a forecast.** The risk-neutral path sits above the modal path when the distribution is skewed. That is the honest version of the bear case.
3. **The Autumn Budget** is a binary, unhedgeable event for the long end. It is the reason I am not long 30-year gilts today despite a two-decade-high real yield.

Positioning

Trade	Entry	Target	Stop	Conviction
Receive 1y1y SONIA OIS	4.397%	3.95%	4.70%	**High**
Receive 1y spot OIS (carry version)	4.066%	—	—	High, lower beta
2s10s gilt steepener, DV01-neutral 5:1	+80.5bp	+105bp	+60bp	Medium
30y gilts	**Neutral — wait for the Budget**	—	—	—

Why the receiver, not just the steepener. The payoff is asymmetric: +65bp if the MPC never hikes, +40bp on one hike, +15bp on two. It only loses if three or more are delivered — the outcome furthest from a committee that just voted 6–3 to hold.

The 1-year spot version earns **+33bp per annum of carry** against SONIA if Bank Rate simply stays put. Rare to be paid to wait.

What I would tell a client today

"The Bank has told you what it is going to do and the market isn't listening. Six of nine members said financial conditions are already doing the tightening for them — and one of the conditions they named is the yield curve itself. That's circular in your favour: the more the market prices hikes, the

less the Bank has to deliver. Receive the front end. You get paid 33 basis points a year to wait in the 1-year, and if you want the upside, receive 1y1y at 4.40% where you make money in any world with fewer than three hikes.

On the long end — I know the 30-year at 5.89% looks like a crisis and that's what the front pages say. Check the swap spread before you believe it. The gilt-specific premium got tighter this year, not wider. The long end is cheap because sterling rates repriced, not because anyone stopped lending to the UK. A 2.5% thirty-year real yield is the best entry in two decades and you should be building a position — but not this month. The Budget is a coin-flip you cannot hedge, and I am not paid to be early into a coin-flip.

What kills this trade: services CPI re-accelerating, or 2027 pay settlements above 4%. Those are the two prints I am watching. If either turns, I will tell you I was wrong rather than explain why I was actually right."

Watching next: 5 November MPC and Monetary Policy Report — the first meeting with meaningful risk priced (46%) and the first chance for a holder to defect. Services CPI and private-sector regular pay, monthly. The Autumn Budget.

Next edition: first week of September, after the 17 September MPC.

Sources: Bank of England yield curve dataset and Interactive Database (data to 31 July 2026); MPC Summary and minutes, meeting ending 29 July 2026; UK DMO financing remit revision, 23 April 2026. Not investment advice.